

1-A:

A- **Market failure** can occur when **property rights** are not well-defined or are difficult to enforce. In such cases, **individuals or firms may not have clear ownership or control over resources, leading to inefficient allocation and potential conflicts**. For example, in the case of common resources like fisheries or forests, the lack of well-defined property rights may lead to overuse and depletion of these resources, as no one has a clear incentive to protect or preserve them. In such situations, each individual has an incentive to exploit the resource for their own benefit without considering the long-term consequences. As a result, the resource is overused and depleted, leading to negative outcomes for all users. **Examples include overfishing in open oceans or overgrazing in common pastures**. For instance, in the absence of well-defined property rights, **a factory might release pollution into the air or water without being held responsible for the environmental damage it causes to others**.

This is why, key A, is correct.

B - Diseconomies of scale occur when the Average cost increases as the scale of production increases beyond the "optimal level". This is not an example of market failure, but rather a concept related to production inefficiencies beyond a certain scale of operation.

C – High prices as a result of an increase in demand represent the "signaling function of the price-mechanism"

D- Scarcity is a fundamental economic concept that refers to the limited availability of resources relative to unlimited wants, which will always exist. The existence of scarcity is not an example of market failure.

2-D:

An economy wishes to achieve economic efficiency to ensure that resources are not wasted. **When resources are kept idle, potential output is lost, but if they are utilized efficiently, total output will increase and hence everyone will be better off.**

This explains why key D will be correct.

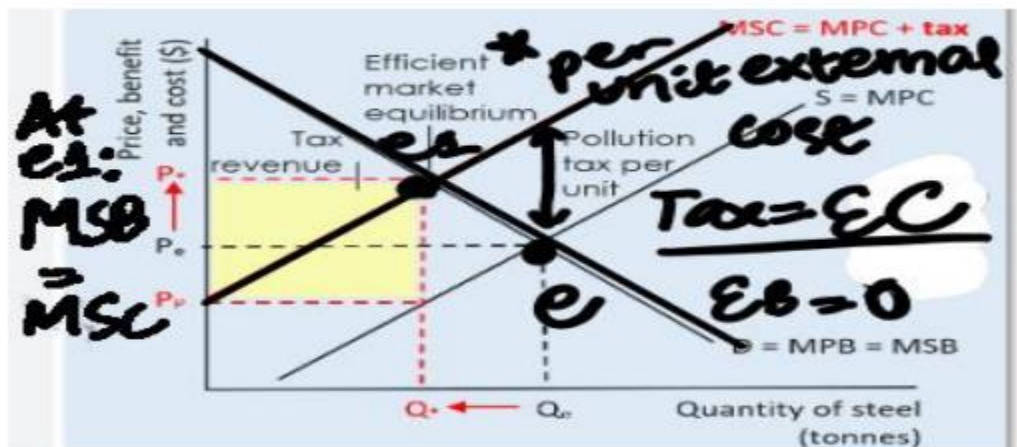
Here's why the other options are not correct:

A. Equal distribution of income is related to **re-distribution of income and wealth** which is a macro-economic objective.

B. **Full employment** is a macroeconomic goal

C. International competitiveness is important to maintain to ensure **balance of payments stability** which is also a macro-economic objective.

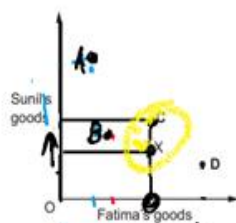
3-B



- A- Because of imposition of indirect tax, the supply will decrease, such that the supply curve shifts leftwards from **MPC** to **(MPC+tax=MSC)**, and because of a shortage and a rise in price, the equilibrium qty (qty demanded contracts), which represents that **“production will be decreased”**
- B- Initially, the free market was operating at **private equilibrium “e”**, where **MPC=MPB**. Now, after a decrease in supply, we are operating at the socially optimum equilibrium **“e1”** where **MSC=MSB**, which means that the **“output Q1”** is the **“socially optimum level of output”**. Since, allocative efficiency is achieved, it can be said that **resource allocation improves**. This is why, key B, becomes correct. This can be seen in the diagram above.
- C- Resource allocation will not be maximized; instead, it will be improved.
- D- There will be an effect on production as the output is shown to fall .

4-C:

According to the Pareto criterion, which point would definitely indicate increased allocative efficiency?



X-D: Sunil's goods fall
Fatima's goods increase

X-B: Sunil's goods increase
fatima's goods fall

X-A: Sunil's goods increase
fatima's goods fall

X-C: Fatima's goods unchanged
Sunil's goods increase

According to Pareto criterion, a move from point X to point C would definitely indicate an improvement in allocative efficiency because the output of Sunil's goods is increasing while the output of Fatima's goods is unchanged. This represents that at-least one person is made better off without making the other person worse off.

5-B:

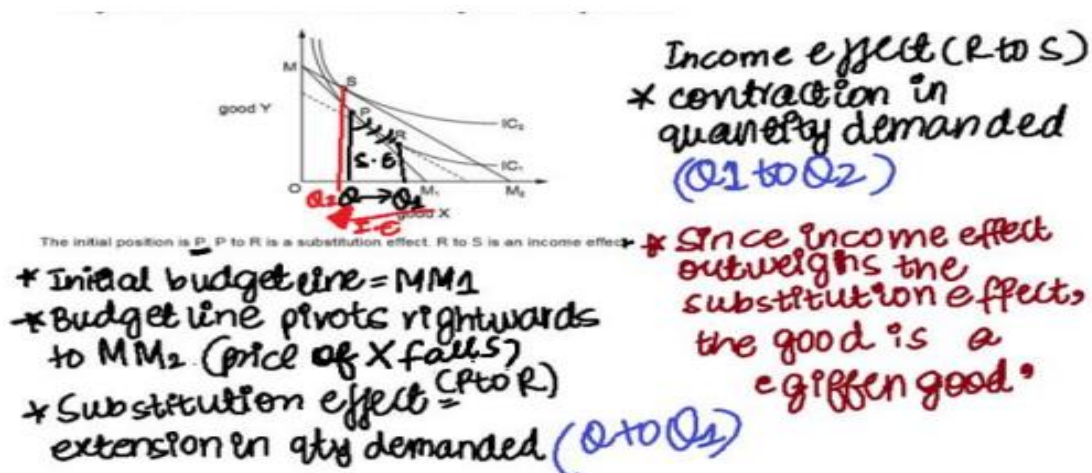
Normal profit represents the transfer earnings of the factor enterprise, which means the minimum return required by entrepreneurs to continue operating their business. This represents a situation where Average revenue is equal to Average cost. It's the opportunity cost of their own resources, such as time, effort, and capital.

A. Excess profit refers to profits above the normal profit level, which represents a surplus over and above the minimum required return.

C. Return on capital employed is a broader concept that measures the profitability of capital invested.

D. Start-up costs are the initial investments required to establish a business, not representative of the transfer earnings of the factor enterprise.

6-A:



- A- Since income effect outweighs the substitution effect, the following good is said to be a "Giffen good". In case of Giffen goods, there is a positive relationship between price and qty demanded. If for example, the price of a loaf of bread falls, people will contract some qty of loaves to purchase some meat which they can now afford, in order to feel richer.
- B- We can not deduce whether this good is a luxury good or not, since we do not have information about types of goods.
- C- The income and the substitution effect should be in the same direction for a particular good to be a normal good
- D- Although, the income effect and the substitution effect move in the opposite direction in case of inferior goods, the new indifference curve must be between P and R, on the new budget line MM2.

7-D:

In monopolistic competition, firms make only normal profits in the long-run equilibrium because of the freedom of entry and exit. This means that:

- New firms can enter the market if existing firms are making **super-normal profits** (excess profits above normal profits) which increases competition. As a result of this, the demand curve faced by a firm shifts towards the left, which denotes a fall in market share possessed by each firm. This subsequently drives profits down to normal profit levels.
- Firms can exit the market if they are making losses, reducing competition and allowing remaining firms to earn normal profits.

A. Consumer resistance refers to the opposition of consumers to higher prices or lower quality products, but it doesn't directly explain why firms make only normal profits in the long run.

B. Decreasing returns to scale refers to a situation where Average total costs rise when output increases beyond the optimal level of output.

C. Differentiated products are a characteristic of monopolistic competition, but they don't directly explain why firms make only normal profits in the long run.

8-C:

The formula for Average fixed cost is $\text{Total fixed Cost} / \text{Qty}$

The formula for Average total cost is $\text{Total Cost} / \text{Qty}$

The formula for Average variable cost is $\text{Total Variable Cost} / \text{Qty}$

The formula for Marginal Cost is $\text{Change in Total Cost} / \text{Change in Qty}$

	At output level 1	At output level 2	Fall in <i>cost</i>
Average fixed cost	$300/1$ =300	$300/2$ =150	$300-150$ =150
Average total cost	$(300+200)/1$ =500	$(300+300)/2$ =300	$500-300$ =200
Average variable cost	$200/1$ =200	$300/2$ =150	$200-150$ =50
Marginal cost	200	100	$200-100$ =100

It can be seen in the table above that the **"average variable cost"** has experienced a lowest fall. This is why, key C, becomes correct.

9-B:

High productivity is an important feature of high growth firms, as because of a higher degree of efficiency, whereby a greater output is produced per unit of input, these firms are able to minimize costs, and use the retained profits to "finance growth"

- High market share is often found in high growth firms as due to large size, they are able to generate high sales that helps them maximize sales as a proportion of total market sales, enabling them to secure a large market share.

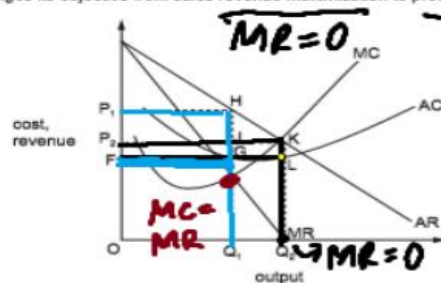
But this may depend upon the size of the sales of the entire industry. If the entire industry is very large in terms of sales value and is continually growing, then even if the firm's sales are growing, they may not be able to have a "high market share"

-High growth firms often tend to substitute labor with capital, and the motivation behind these capital-intensive methods is to increase efficiency; therefore, they do not have high levels of employment; instead, they have low levels of employment.

- They have high levels of innovation. Innovation can provide high-growth firms with a competitive advantage over their competitors. By developing new products, services, or processes, these firms can differentiate themselves in the market and attract more customers. This can lead to increased market share and growth.

Option B is correct because it is most-likely to be true for all high-growth firms. They have high productivity, and high levels of innovation to be able to grow, and some of them may not have a high market share (as mentioned above), and most importantly, they do not have high levels of employment.
10-D:

A monopolist changes its objective from sales revenue maximisation to profit maximisation.



On the diagram, which areas represent the monopolist's total profit?

	original profit	final profit
A	HKLG	P ₁ HKP ₂
B	JKLG	P ₁ HGF
C	P ₂ JGF	P ₁ HJP ₂
D	P₂KLF	P₁HGF

Final:

originals
 When $MR=0$
 * $Costs = OFLQ_2$
 * $Revenue = OP_2KQ_2$
 * **Profit: P_2KLF**
 When $MC=MR$
 * $Costs \Rightarrow OFG_1Q_1$
 * $Revenue \Rightarrow OP_1H_1Q_1$
 * **Profit $\Rightarrow P_1HGF$**

11-D:

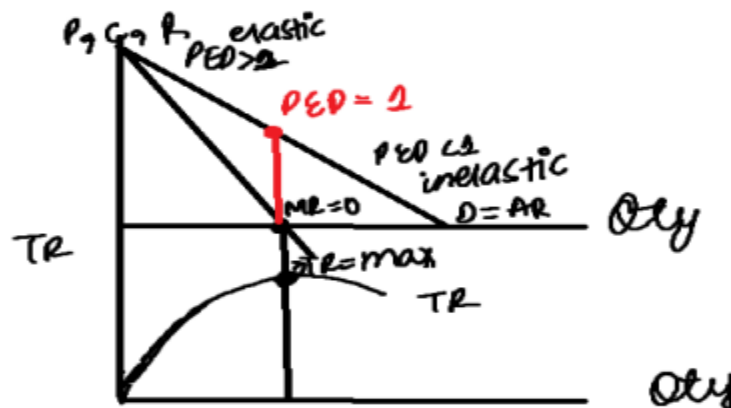
A – Cheaper costs from purchasing large quantities of raw materials represents “purchasing economies of scale” that come under internal economies of scale

B- Large firms are able to obtain loans on cheaper interest rates due to them being safer to lend to, as firstly, they can offer expensive collateral to banks, and secondly, the administrative costs of processing large loans is less. This represents “financial Economies of scale” that is classed under “internal economies of scale”

C – Increased labor productivity arising from usage of improved technology represents “technical economies of scale”. And when this arises as a result of division of labor and specialization, this represents “labor economies of scale”. These are categorized under “internal economies of scale”

D_ Relevant training facilities at a local college will lead to all firms in the heavily localized industry to benefit from a pool of skilled workers, trained according to the specific needs of the industry. This benefits all firms in the industry and is known as “external economies of scale” or “economies of concentration”. This is why D becomes correct.

12-C:



A – Average revenue is only equal to Marginal Revenue in case of “perfect competition” where Total Revenue is a straight upward sloping line, beginning from the origin.

B – It can be seen above that Average revenue is zero when demand curve touches the x-axis, representing $PED=0$

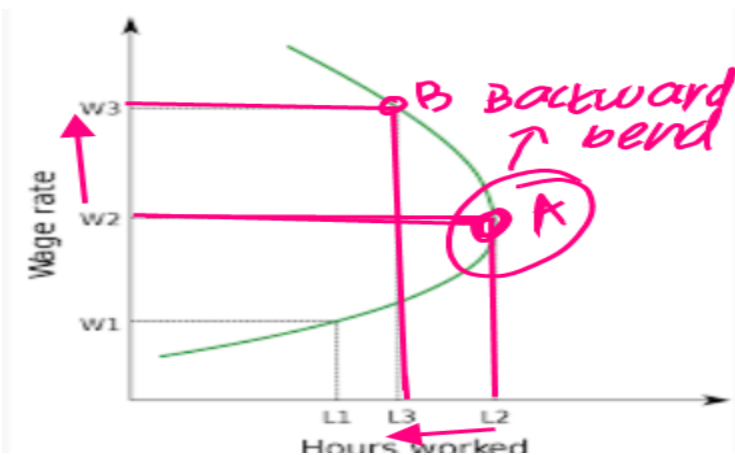
C – It can be seen above that when Marginal revenue is zero, this is when Total Revenue is at its maximum. This is why key C becomes correct.

D – This curve is of revenue only, and to determine profits, we need information about costs too. **Profit maximization occurs when $MC=MR$.**

13-C:

Note :- The backward-sloping supply curve of labor occurs when the negative income effect dominates the substitution effect, causing people to work less as wages rise.

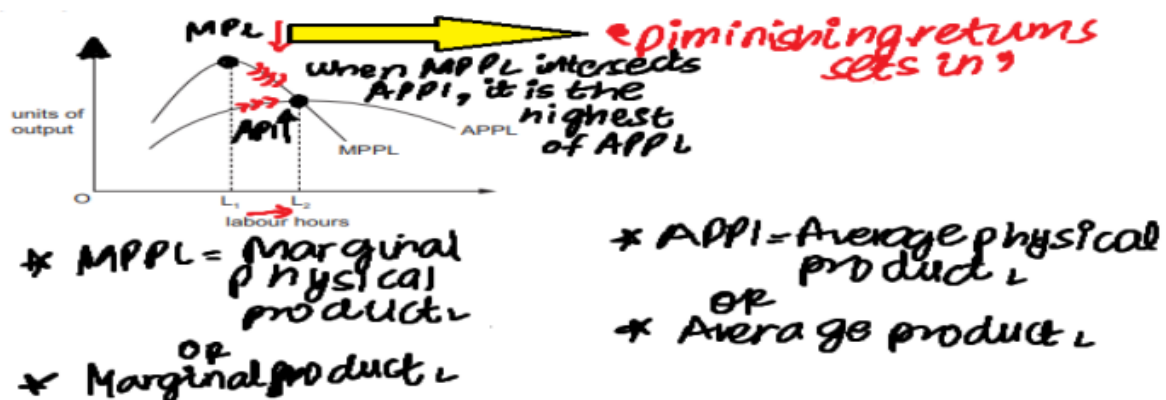
- Substitution effect: As wages rise, people tend to work more because leisure time becomes more expensive (opportunity cost increases). This effect increases labor hours worked.
- Income effect: As wages rise, people's income increases, allowing them to afford more leisure time. This effect decreases labor hours worked. This is because, workers have already earned their target income set.
- Negative income effect outweighing substitution effect: Beyond a certain point, the income effect becomes stronger, leading to a decrease in labor supply as wages rise. This is because people value the additional leisure time more than the extra income.



14-D:

A – Average physical product of labor represents the Average product of labor, and both: Average product of labor and Marginal Product of labor are associated with small firms; whereas, dis-economies of scale is a concept for “large firms”

B – At OL2 labor hours, the Average product of labor is at its maximum, because the Marginal Product of labor intersects the Average product of labor curve (which represents that the API is at its highest), and this is therefore incorrect because the profit-maximizing firm would never hire more than the profit-maximizing level of employment that is when Marginal Revenue productivity is equal to Marginal cost of labor.



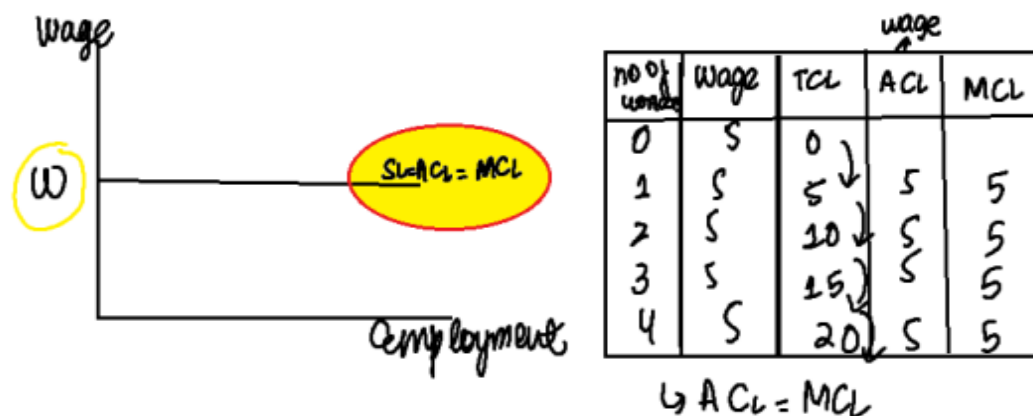
C – It can be seen in the diagram above that between OL1 and OL2, each extra labor hired causes the “Marginal product of labor to fall” and the “Average product of labor to rise”

D – Diminishing returns first sets in when the number of labor hours hired reaches “OL1” because that is when MPL is at its highest, and after that, when Marginal product of labor falls, that is when the “law of diminishing returns” sets in. This is why, key D, is correct

15-C:

C - The **MRP of labor** ($MPP \times MR$) refers to the **additional revenue generated by hiring one more unit of labor**. It represents the **contribution of that worker to the firm's total revenue**. As a firm hires more workers, the **MRP reflects the extra output produced and the associated revenue**. And the "**Marginal revenue productivity curve**" is equal to the "**demand for labor curve**", because the firm takes hiring decisions on the basis of "**the contribution of each worker to the output**" and to the "**revenue**". This is why, it is correct to say that the demand for labor curve is derived from the "**marginal revenue product of labor curve**".

A - The marginal cost of labor curve represents the "supply of labor curve" in case of a perfect labor market, as can be seen in the diagram below.



B - Marginal revenue is the part of MRP because **MRP = MPL (MPP) * MR**.

D - Short-run marginal cost curve is an indication towards the "product market"

16-C:

A. A cut in income tax may increase disposable income, as a result of which, consumption and Aggregate demand may subsequently increase, indicating actual economic growth. However, it doesn't necessarily reduce income inequality.

B. Increased reliance on indirect taxes (e.g., sales taxes) can disproportionately burden lower-income households since they are **regressive in nature**, exacerbating income inequality.

C - Unemployment benefits (**that is classed as a means tested benefit**) can reduce income inequality by providing financial support to those who need it most.

D - **Privatization** can lead to increased prices, and job losses as private firms operate with the objective of maximizing profits, which exacerbates income inequality.

This explains why key C is correct.

17-A:

- Advantage: Food stamps for the poor target the needy (food stamps are a targeted program that directly helps those who need it most)
- Disadvantage: high administrative costs (implementing and managing food stamp programs can be bureaucratic and costly)

This explains why key A is correct.

B. Higher national minimum wage:

- Advantage: A higher national minimum wage may not incentivize workers to engage in skills training programs.
- Disadvantage: A higher national minimum wage may increase government expenditure on wages of public sector workers, which may contribute to a higher budget deficit when government spending rises relative to revenues.

C. Provision of free child care:

- Advantage: increases employability (free child care can enable more people, **especially women** to work)
- Disadvantage: This is incorrect because free childcare will create incentives to work for women especially.

D. Universal monetary benefits:

- Advantage: saves on bureaucracy (universal benefits can be simpler and less bureaucratic than targeted programs)
- Disadvantage: They may not reduce labor mobility.

18-A:

Personal disposable income per head measures the amount of income available to individuals after taxes and transfers on a per-head basis, but it does not account for changes in the average price level (inflation or deflation). This means that if prices rise, the same amount of income can purchase fewer goods and services, reducing the standard of living. **Since the data is not in real terms, it can be said that it does not take into account changes in the average price level.** This explains why key A will be correct.

B. The level of direct taxation: Personal disposable income takes into account taxes and transfers, so it does consider the level of direct taxation.

C. The level of national income: Personal disposable income is a component of national income, so it is related to the level of national income.

D. The size of the population: The "per head" part of the measure means that it is adjusted for the size of the population, so it does take into account the number of people

19-A:

The loss of revenue from extra journeys was \$600,000, which represents that national income fell.

In-order to prevent double counting, I will not be counting loss of government revenue because that would have been some proportion of the additional incomes lost.

Additionally, since the police is earning additional incomes worth \$30,000, this represents a rise in national income by this amount.

Therefore, the net impact will be a fall in national income by \$570,000

$(\$-600,000 + 30,000)$

20-A:

Country A is most likely to be a **developed country** because:

- The primary sector (agriculture, mining, etc.) is the smallest among other countries (15%), indicating a low reliance on raw materials extraction.
- The tertiary sector (services, finance, etc.) is the largest (45%) among other countries, indicating a high level of specialization and a strong services sector, which is typical of developed countries.

This is sufficient to explain why key A is correct.

21-B:

Outward migration from a developing economy can lead to an increase in remittances (money sent back by migrants to their home country), which are considered current transfers in the balance of payments. This can therefore improve the overall Balance of payments position.

A. Outward migration may lead to a brain drain, reducing the country's export capacity.

C. Depreciation of the currency is not a direct result of outward migration.

D. Since there are less people in the country after emigration, consumption expenditure on imported goods is likely to decrease.

22-C:

A worldwide decline in the demand for electronic goods could lead to structural unemployment in the industry, as:

- The demand for labor in the industry decreases-> the industry may contract, leading to job losses in the industry-> they may remain structurally unemployed for a long time if they are occupationally immobile (that is they may not have the skills to adapt to new industries or jobs)

Structural unemployment occurs when there is a mismatch between the skills and industries in the economy. **Structural changes in the economy arise from changes in the pattern of demand and supply.**

A. Frictional unemployment refers to unemployment arising in between jobs, an example of which is search unemployment.

B. Seasonal unemployment is related to seasonal fluctuations, not a global decline in demand.

D. Voluntary unemployment refers to workers choosing not to work at the going wage rate, and is not related to a decline in demand.

23-C:

- Compulsory redundancies (layoffs) are increasing, suggesting that businesses are downsizing due to economic conditions.
- Voluntary resignations (people leaving their jobs willingly) are decreasing, indicating that workers are less likely to leave their jobs, possibly due to uncertainty in the job market.

This combination suggests that the labor market is experiencing an increase in cyclical unemployment, which is caused by economic downturns or recessions. When the economy slows down, businesses may lay off workers, leading to **involuntary job losses (an example of involuntary unemployment is demand-deficient unemployment)**, while workers may **be less likely to leave their jobs voluntarily** due to reduced job opportunities elsewhere.

24-B:

Quantitative easing is an expansionary monetary policy tool used by central banks to inject liquidity into the economy by purchasing or buying back previously issued bonds to the non-bank private sector. This increases the money supply, lowers interest rates, and stimulates economic activity.

A. Liquidity preference refers to the demand for liquidity or in other words, cash.

C. Supply-side policy refers to policies aimed at increasing the Aggregate supply or the productive potential of the economy.

D. The Keynesian monetary transmission mechanism refers to the process by which monetary policy affects the economy, but it's not the specific action described in the question.

25-A:

An upward movement in the consumption curve (also known as the consumption function) means that consumers are spending more at each level of national income. This could be caused by a reduction in taxation, as consumers have more disposable income to spend.

B. An increase in investment would shift the Aggregate expenditure curve upwards since investment represents an autonomous injection into the circular flow, not the consumption curve.

C. An increase in national income would bring about a movement along the consumption curve, not shift it upward. (since real income will be on the vertical axis)

D. An increase in savings would lead to a downward movement in the consumption curve, as consumers are spending less and saving more at each income level.

26-D:

The macro-economic equilibrium occurs when

$$\rightarrow Y = AE \text{ OR } W = J$$

Leakages (W) are savings, imports and taxation.

Injections (J) are exports, government expenditure and investment.

	<i>W</i> savings \$	<i>W</i> imports \$	<i>W</i> taxation \$	<i>J</i> investment \$	<i>J</i> exports \$	<i>J</i> government expenditure \$	consumption \$
450	100	150	200	200	400	400 = 1000	450
675	150	175	350	200	400	400 = 1000	500
800	200	200	400	200	400	400 = 1000	600
1000	250	250	500	200	400	400 = 1000	1000

W = J

27-A:

Increasing government spending on education and health can lead to an increase in aggregate demand, which can drive up prices when there are shortages as a result of **Aggregate demand outpacing Aggregate supply**. This can lead to a conflict with the goal of price stability.

B. Increasing the basic rate of income tax could reduce disposable incomes and subsequently reduce consumption and aggregate demand which can actually help reduce demand pull inflation.

C. Limiting wage increases in the public sector could help reduce costs and subsequently cost push inflationary pressures will be reduced.

D. Preventing mergers of large companies can help promote competition, which can actually lead to lower prices.

28-C:

Lowering interest rates is an expansionary monetary policy measure aimed at stimulating aggregate demand, which is a demand-side policy. Supply-side policies focus on improving the productive capacity and stimulating Aggregate supply.

A. Deregulating industry to encourage more competitive markets aims to improve efficiency and productivity, and therefore explains **a market oriented supply-side tool**.

B. Linking unemployment benefits to the obligation to look for work aims to encourage job search and labor market participation. Reducing unemployment benefits offered is also a market oriented supply side tool.

D. Tackling structural unemployment by giving grants for labor mobility aims to improve labor market flexibility and match workers with job opportunities. Since this increases government intervention, this explains an interventionist supply side tool.

29-B:

The question asks for an option which will help in achieving economic growth, but will result in an increase in surplus in the BOP (**or in other words, conflict with its desire to reduce a surplus in the Balance of Payments**)

A – When growth requires import of capital goods, this will increase import expenditures and subsequently result in a Balance of trade deficit and since Balance of Trade is a part of **Balance of Payments**, this will lead to a reduction in BOP surplus.

B – When growth increases foreign investors' confidence in the economy, this will bring about an increase in foreign direct investment, which will increase the BOP surplus. This explains why key B will be correct.

C- When growth requires a reduction in import tariffs, this will increase import expenditures and subsequently result in a Balance of trade deficit and since Balance of Trade is a part of **Balance of Payments**, this will lead to a reduction in BOP surplus.

D- When growth results in a removal of restrictions on capital outflows, there is again a chance of BOP surplus being reduced due to capital outflows from one country to another.

30-C:

-> **The largest item of spending is welfare, on which \$226 billion is being spent. This will make income distribution more fair or equitable.**

-> **The largest item of receipts is income tax, which is generating \$150 bn. Income tax (that is a burden on individual's earning income) is a direct tax (which is progressive in nature)**

-> **A budget balance represents the difference between government expenditure and revenues. Since spending (697 bn\$) is greater than receipts (548bn\$), there is a budget deficit of \$149 bn.**

